

5. SUSTAINABILITY PLEDGES

We have articulated unwavering pledges across each ESG domain. Environmentally, we are resolutely committed to minimising our ecological footprint through sustainable operational practices and a pursuit of resource efficiency. Socially, we champion

inclusivity, drive impactful community development, and are dedicated to tangibly improving the quality of life for all stakeholders. In governance, our pledge is to uphold the highest standards of transparency, maintain impeccable ethical conduct, and ensure adherence to

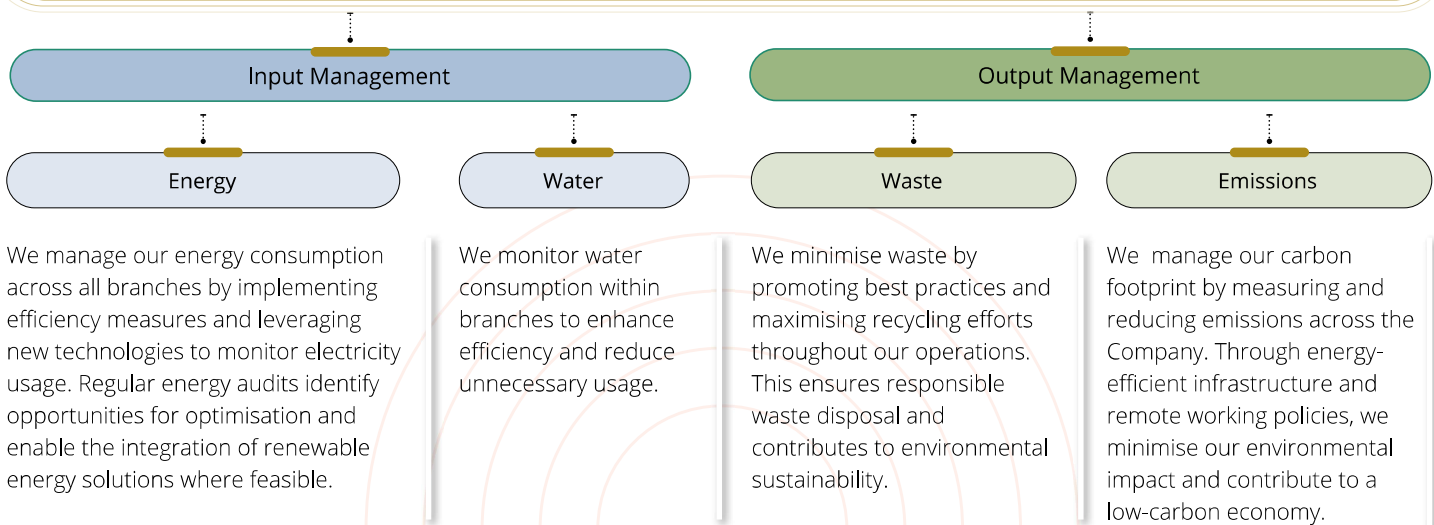
exemplary corporate governance principles. This structured, principle-driven framework underpins our vision of proactive corporate citizenship and the creation of enduring, long-term value.



6. RESPONSIBLE OPERATIONS

As a leading financial institution in Sri Lanka, we are committed to combating climate change and environmental degradation. We have adopted a strategic approach to minimise our environmental impact, addressing the most material concerns arising from our daily operations. Our Environment Policy prioritises the efficient and responsible use of resources, following the principles (Reduce, Reuse, Recycle, and Refuse) where necessary. We promote employee engagement and awareness to ensure consistent adherence to these practices.

Our Environmental Management System



6.1 Energy Management and Footprint

Recognising the significant impact of energy consumption on our carbon footprint, we have prioritised energy management and established baseline standards within our EMS to measure and monitor energy use.



Energy Footprint

55,714 GJ



Per employee
12.64 GJ



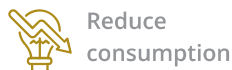
Per working day
232.14 GJ



Per outlet
257.94 GJ

INTEGRATED SUSTAINABILITY REPORT

LBF's Ongoing Actions on Energy Management



Reduce consumption

Actions Taken

- Employing high-tech, energy-efficient equipment across all operations
- Installing solar water heating systems to reduce electricity consumption
- Utilising energy-efficient lighting for all signage and interior spaces
- Optimising HVAC (Heating, Ventilation, and Air Conditioning) systems using proven energy reduction methodologies
- Implementing electronic data collection and analysis tools to track energy consumption and identify areas for improvement
- Conducting energy audits and periodic assessments to ensure continuous improvement

- Maximising the use of natural light in all facilities
- Promoting green building concepts in new construction and renovations
- Transitioning branch operations to solar energy where feasible



Awareness

Actions Taken

- Promoting energy-saving tips through engaging displays
- Launching e-mail and social media campaigns to highlight the benefits of energy conservation



Employee engagement policies and procedures

Actions Taken

- Implementing energy reduction methods in the office and encouraging their adoption at home
- Securing employee commitment to our Sustainability Pledge and Energy Policy
- Regulating equipment operating times to minimise energy consumption



Refuse

Actions Taken

- Avoiding unnecessary power usage

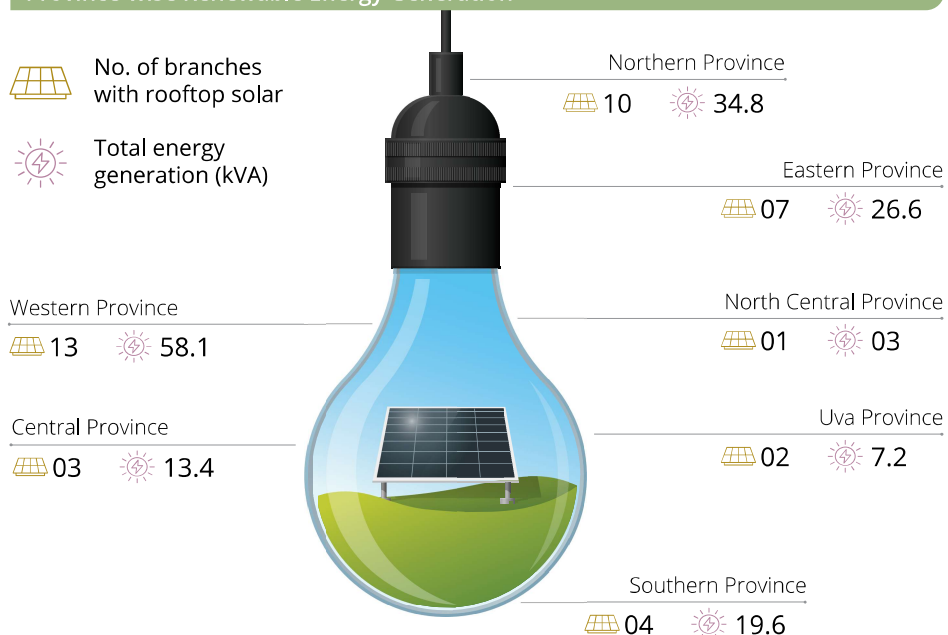
Energy Audit

To better understand our energy footprint, we partnered with U Tech Company this year to conduct a thorough energy audit encompassing energy consumption, power quality, and environmental conditions within our building. The audit identified our chiller system as the primary energy consumer, followed by lighting, office operations, and kitchen activities. Notably, temperature and humidity levels exceeded optimal ranges on weekends when the chiller system was inactive. We are now implementing U Tech's recommended strategies, targeting a 10% reduction in energy consumption to achieve a more sustainable and energy-efficient operation.

Our Renewable Energy Imperative

As part of our commitment to sustainability and reducing our carbon footprint, our solar powered branches programme remains a key initiative in our journey towards achieving net-zero carbon operations. We have invested in rooftop solar panel installations across our branches, demonstrating our commitment to renewable energy integration. This year, we equipped 14 additional branches with solar PV systems, bringing the total to 40 branches now operating with rooftop solar technology.

Province-wise Renewable Energy Generation



6.2 Water Management and Footprint

As a financial services institution, our water footprint is relatively small, primarily limited to utility and sanitary needs across our branch network, responsible water management remains a key priority. Our Company-wide water management plan provides clear guidelines for reducing daily water usage and promoting efficient consumption practices, guided by our comprehensive Environmental Policy.

LBF's Ongoing Actions on Water Management



Reduce consumption

Actions Taken

- Installing pressure-reducing valves to maintain consistent water pressure
- Equipping taps with spray attachments to regulate water flow effectively
- Utilising high-intensity pressure pumps for efficient vehicle washing



Awareness

Actions Taken

- Signage providing water-saving tips



Reuse

Actions Taken

- Using drain water for air conditioning cooling



Water Efficiency Interventions

Actions Taken

- Leak detection tools
- Automatic shutdown valves



Policies and procedures

Actions Taken

- Engaging employees through a Sustainability Pledge and enforcing our Water Policy, both integral to our Environmental Policy.



Water Footprint

48,514 m³

44,908 m³ 2023/24



Per employee
11.01 m³

10.87 m³ 2023/24



Per working day
202.14 m³

186.34 m³ 2023/24



Per outlet
224.60 m³

224.54 m³ 2023/24

6.3 Waste Management and Footprint

We have integrated the 4R principles into our daily operations. Our Sustainability Department educates employees on these practices to promote responsible resource consumption. Furthermore, we partner with Neptune (Pvt) Ltd, a registered recycling company, for the responsible disposal of paper waste. As part of our long-term strategy to reduce paper use by 10% within five years, we established the Digital Financial Service unit in 2019 and the LB Centre for Innovation and Technology in 2020.

LBF's Ongoing Actions on Waste Management



Refuse

Actions Taken

- Digitising document storage and archiving processes to create a paperless environment
- Implementing a centralised web portal to facilitate a paperless work environment
- Transitioning to e-business cards to reduce paper consumption



Reuse

Actions Taken

- Reducing paper waste by reusing paper and envelopes for appropriate purposes
- Minimising plastic waste by providing reusable glass water bottles for all Board meetings



Reduce

Actions Taken

- Monitoring and controlling inventory consumption through the inventory management system

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Recycle

Actions Taken

- Designating specific collection areas in each office for paper items to be sent for recycling
- Recycling all paper waste through our partnership with Neptune (Pvt) Ltd
- Partnering with an authorised e-waste recycling provider to ensure the responsible recycling of all electronic waste



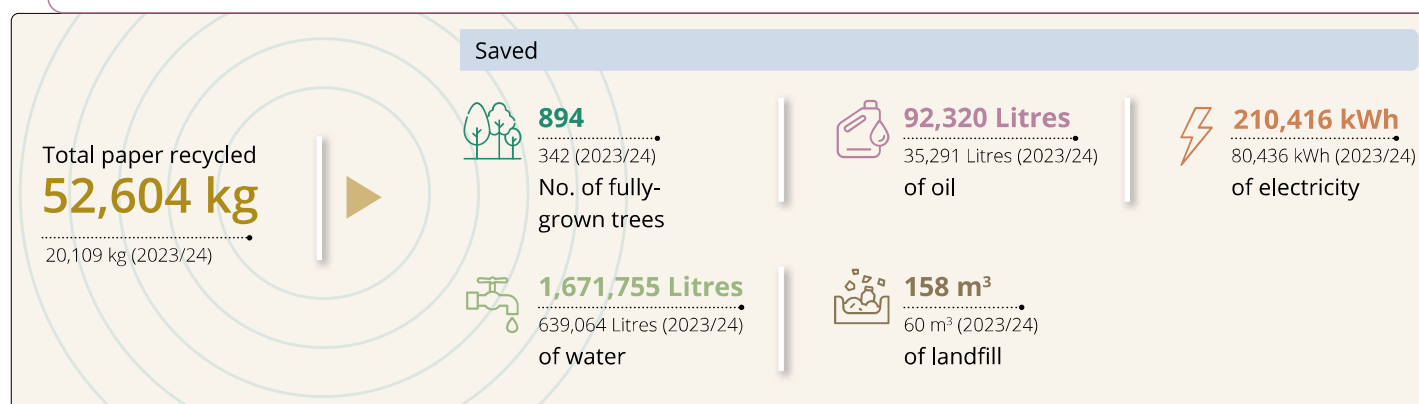
Awareness

Actions Taken

- Distributing regular email notifications to enhance employee awareness of sustainability initiatives
- Conducting awareness campaigns to promote effective waste management practices among employees
- Educating employees on our Waste Policy to encourage responsible environmental behaviour



Waste Footprint



'SIHINA'

Discards to Dreams 2025

Turning Waste into Opportunities for Children's Dreams

Through Sihina, we believe that every bit of waste holds the potential to shape a child's brighter future. In our commitment to sustainability and social responsibility, we challenge our branches and departments to collect and dispose of waste responsibly over 80 days.

The funds generated from recycling waste through Sihina directly support children facing financial hardship in their pursuit of education. By transforming waste into a valuable resource, we not only contribute to environmental conservation but also empower the next generation with the gift of education. This initiative embodies our commitment to creating a sustainable and inclusive future, where business success is inextricably linked to positive social impact.

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Discards to Dreams 2025

Let's Turn Waste Into Opportunity for the Dreams of Children!
Through 88e, we believe that every bit of waste can spark a child's brighter future. That's why we're challenging our branches and departments to collect and dispose of waste responsibly for 80 days.

80-DAYS CHALLENGE
ARE YOU READY?
(1st of January 2025 - 21st March 2025)

The Branch/Department to have collected the biggest weight of waste at the end of 80 days challenge shall win exciting prizes!

FIRST RUNNERS UP LKR 50,000/=	WINNERS LKR 75,000/=	SECOND RUNNERS UP LKR 30,000/=
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This competition is mandatory for all Departments and Branches! Heads of Departments & Branches, please ensure your teams are informed and motivated to contribute.



6.4 Emissions Management and Footprint

At LBF, we understand the urgency of addressing climate change and are fully committed to minimising our environmental impact. Recognising our responsibility to reduce greenhouse gas emissions, we are focused on reducing emissions across all our operations. Although our direct (Scope 1) emissions are limited, we are actively managing Scope 2 and 3 emissions through a combination of energy efficiency initiatives, increased renewable energy adoption, and the implementation of sustainable workplace practices. These strategies include reducing reliance on grid electricity, incentivising sustainable commuting choices, and exploring flexible work arrangements. As a responsible financial institution we have initiated the calculation of finance emissions under indirect emissions. Our long-term vision includes achieving consistent year-on-year reductions in our overall carbon footprint, contributing to a more sustainable future.

LBF's Ongoing Actions on Emission Management

 Reduce consumption	 Awareness	 Inspire
Actions Taken	Actions Taken	Actions Taken
- Transitioning to energy-saving equipment to replace high-energy intensive alternatives - Promoting the use of public transportation and carpooling to reduce reliance on private vehicles - Regulating energy usage during peak demand periods - Providing integrated transportation solutions for business-related travel - Encouraging green building construction practices - Transitioning to electronic business cards to minimise paper consumption	- Implementing e-mail campaigns to educate employees on energy and water-saving mechanisms - Encouraging customers, corporate partners, and the public to adopt low-emission practices - Providing sustainability training and orientation to all new employees	- Championing carbon neutrality by adopting a carbon footprint calculation process and encouraging peers to do the same  Policies and procedures Actions Taken - Gaining employee commitment to environmental stewardship - Emissions Policy (as part of our Environmental Policy)



Emission Footprint

36,934 tCO₂



Per employee
8.38 tCO₂



Per working day
153.89 tCO₂



Per outlet
170.99 tCO₂

Carbon Journey

Driven by our commitment to a low-carbon future, we have been certified as a Carbon Conscious Company since 2013/14. We also became the first in the industry to achieve carbon neutral status three times, a testament to our ongoing efforts to refine our policies and procedures and continuously improve our products and services through technological innovation.

Our carbon reduction journey is guided by the Greenhouse Gas (GHG) Protocol, the ISO 14064-1:2018 Standard for carbon footprint verification, and national sustainability frameworks that drive corporate climate action. To further enhance our commitment, we will pursue the Science-Based Targets initiative (SBTi) ensuring our emissions reduction goals align with the Paris Agreement's ambition to limit global warming to well below 2°C.

Furthermore, we recognise the importance of addressing Scope 3 emissions and are committed to engaging our supply chain to reduce financed emissions, aligning with the UN Sustainable Development Goals (SDGs), particularly Goal 13 on Climate Action.



Refer page 08 for more information on our carbon journey

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GRI: 305-1, 305-2, 305-3



*Scope 2 emissions are location-based.

 Scope 1	 Scope 2	 Scope 3
Actions Taken	Actions Taken	Actions Taken
• Reduce GHG emissions in workplace arrangements, construction, and maintenance of office premises • Implemented sensor-based, energy-efficient lighting where feasible • Enhanced employee awareness of LBF's Sustainability Pledge and Environmental Policy • Promoted the use of online platforms for business meetings • Conducted energy audits	• Installed solar panels across 40 branches to generate 122,472 kWh/year of renewable energy • Educated employees on electricity conservation best practices through email campaigns and workshops	• Reduced financed emissions through strategic initiatives and promote electric vehicle leasing options for employees • Encouraged the use of public transportation • Awareness on prominent water conservation tips • Promoted recycling and circular economy practices

6.4.1 Our own carbon emissions

As a financial institution, we have a direct impact on the environment through energy consumption, waste generation, and water use, all contributing to resource depletion and carbon emissions. We are committed to continuously reducing our direct environmental impact by minimising resource use and preventing pollution. These commitments are detailed in our environmental action plan, which sets medium to long-term targets for our environmental footprint.

6.4.2 Our Scope 3 Financed Emissions

As a financial institution, our primary impact on the economy and society arises from mainly Auto Finance we provide. To understand our climate impact, it is crucial to quantify the emissions associated with the activities we finance.

While climate emissions represent a significant part of the overall environmental impact, they do not encompass it entirely. To accurately assess and report our financed emissions, we have adopted the methodology developed by the Partnership for Carbon Accounting Financials (PCAF). This approach aligns with the Greenhouse Gas (GHG) Protocol and standardises the reporting of Scope 3 Category 15 emissions, commonly referred to as financed emissions. Although LB Finance is not yet an official PCAF member, this methodology enables us to deliver transparent, consistent, and comparable measurements of financed emissions across the NBFI sector.

Financed emissions: Auto Finance
Calculation methodology

According to PCAF, the financed emissions from Auto Finance can be calculated in several ways depending on the availability

of data to derive the financed vehicle's emissions. Overall, PCAF distinguishes three options to calculate the financed emissions from Auto Finance depending on the data used, these are actual vehicle-specific emissions, estimated vehicle specific emissions and estimated vehicle-unspecific emissions.

As a basic attribution principle, the financial institution accounts for a portion of the borrower's annual vehicle emissions as determined by the ratio between the outstanding amount and the value of the vehicle at loan origination as the denominator. This ratio is called the attribution factor. The financed emissions from a Auto Finance are calculated by multiplying the attribution factor by the emissions factor of the vehicle.

GHG emissions inventory – tCO₂e

Scope	Source	2024/25 tCO ₂ e
Scope 1	On-site generators	33.96
	Refrigerant leakage	411.63
	Company - owned vehicles	163.57
	Employee commuting - Fuel paid by the Company	2,101.83
	CO ₂ fire extinguishers	0.03
Scope 1 total		2,711.02
Scope 2	Grid electricity consumption	2,241.45
Scope 2 total		2,241.45
Scope 3	Purchased goods & services	1,226.78
	Water consumption	7.27
	Capital goods	380.11
	Upstream emission for purchased fuel	591.22
	Upstream emission for purchased electricity	465.79
	Electricity transmission and distribution losses	229.83
	Waste generation	4.13
	Business air travel	5.80
	Employee commuting	1,806.67
	Teleworking	18.88
	Financed emission - Motor vehicle loans	27,245.12
Scope 3 total		31,981.60
Total emissions		36,934.07

	Source	tCO ₂ e	tCO ₂	tCH ₄	tN ₂ O	tHFCs
Scope 1	On-site generators	33.96	33.83	0.05	0.08	
	Refrigerant leakage	411.63				411.63
	Company - owned vehicles	163.57	160.56	0.76	2.25	
	Employee commuting - Fuel paid by the Company	2,101.83	2,046.98	29.05	25.80	
	CO ₂ fire extinguishers	0.03	0.03			
Scope 1 total		2,711.02	2,241.40	29.86	28.13	411.63

Carbon Footprint Verification

Our carbon footprint calculations are independently verified according to the ISO 14064-1:2006 standard, ensuring the accuracy and credibility of our reported emissions data.

This carbon footprint assessment provides valuable insights that guide our emission reduction strategies and initiatives.



Scan QR code for more information on the carbon footprint report

INTEGRATED SUSTAINABILITY REPORT**Greenhouse Gas Assurance Report**



GREENHOUSE GAS VERIFICATION OPINION

Certificate Code: CU904734CU-GHG-01.2025

GHG statement in the reporting year 2024/2025 of

LB Finance PLC

No 275/75, Prof. Stanley Wijesundara Mawatha, Colombo 07, Sri Lanka

has been verified in accordance with ISO 14064-3:2019 as meeting the requirements of

ISO 14064-1:2018

Control Union Certifications has inspected and verified the unit(s) of the above-mentioned client, in accordance with the standards mentioned and declares that

01 Direct emissions	2,711.02 tonnes of CO ₂ e
02 Indirect emissions from imported energy	2,241.45 tonnes of CO ₂ e
03 Other indirect emissions	31,981.60 tonnes of CO ₂ e

Total Verified Greenhouse Gas Emissions: 36,934.07 tonnes of CO₂e

GHG statement covers the operations of twelve (12) months
from April 01, 2024, to March 31, 2025

Date of Verification
16 May 2025

Place and Date of Issue:
Colombo 07, 16 May 2025



Declared by

On behalf of the Managing Director



Umesh Hettiarachchi
Reviewer
Control Union Inspections (Pvt) Ltd
2nd Floor, BAM Musee Tower,
52 Sir Marcus Fernando Mawatha,
Colombo 07, Sri Lanka





Methodology and Scope

Control Union Inspections (Pvt) Ltd. (Control Union) completed the review in accordance with ISO 14064-3:2019 - Specification with guidance for the verification and validation of greenhouse gas statements. As such, Control Union planned and performed work in order to provide reasonable level assurance with respect to the GHG Statement.

Period covered in GHG verification: April 01, 2024, to March 31, 2025

GHG Sources/sinks included: Direct and indirect emission sources as presented in the GHG statement for the financial year 2024/2025 provided by LB Finance PLC.

Types of GHGs included: CO₂, CH₄, N₂O, HFCs

Directed Actions: None reported.

Intended user of the verification statement: To be shared with the intended users as required by LB Finance PLC

Objectives and Criteria:

The purpose of this verification exercise is, by reviewing objective evidence to independently review the GHG emissions are as described by the organization's GHG emissions, and the reported data are accurate, complete, transparent and free of material error or omission. Criteria against which the verification evaluation is undertaken are the requirements specified in ISO 14064-1:2018.

Materiality

Materiality was set at 5% in accordance with the requirements of the intended users

Location/Boundary of the activities

Name of Facility	Location	Process/ Activities
Head Office, LB Finance PLC	No. 275/75, Prof. Stanley Wijesundara Mawatha, Colombo 07, Sri Lanka	Deposits, Loans & Receivables, Value added services
Corporate Office, LB Finance PLC	No. 20, Srimath Anagarika Dharmapala Mawatha, Colombo 03, Sri Lanka	Deposits, Loans & Receivables, Value added services
Branches, LB Finance PLC	Island-wide presence	Deposits, Loans & Receivables, Value added services

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Conclusion

Based on our review, nothing has come to our attention which causes us to believe that the GHG Statement is not presented fairly in accordance with the relevant criteria. The emission estimates were calculated in accurate, consistent and transparent manner and were found to be a fair and accurate representation of LB Finance PLC's actual emissions and were free from material misstatement. Control Union identified several minor, immaterial discrepancies in LB Finance PLC's greenhouse gas inventory which were corrected by LB Finance PLC during the course of the verification.

The organization provided the GHG statement based on the requirements of ISO 14064-1:2018 for the period to disclose emissions of 36,934.07 tonnes of CO₂ equivalent are verified by Control Union to a reasonable level assurance, consistent with the agreed verification scope, objectives and criteria.

Control Union concludes with reasonable level assurance that the presented GHG statement is materially correct and is a fair representation of LB Finance PLC's data and information and is prepared following the requirements of ISO 14064-1:2018.

This opinion shall be interpreted with the GHG Statement of 2024/2025 GHG report of LB Finance PLC. as a whole.

Date of Verification
16 May 2025
Place and Date of Issue:
Colombo 07, 16 May 2025

Authenticated by
On behalf of the Managing Director

Umesh Hettiarachchi
Reviewer